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TENTATIVE RULING

September 16, 2026

24SMCV04686 (Yasuda, et. al. v.
Mostafavi, et. al.)

RELEVANT BACKGROUND

On September 26, 2024, plaintiffs Rina Yasuda (Yasuda) and Harin Pad Ma-Na Than (Pad Ma-Nathan) (collectively, Plaintiffs or Former Tenants) filed the complaint against defendants Amir Mostafvi (Mostafvi) individually, and as Trustee of the NM Family Trust (NMFT) (collectively, Defendants). Plaintiffs allege six causes of action: (1) Bad Faith Retention of Security Deposit - Cal. Civil Code § 1950.5 (2) Breach of Lease (3) Conversion (4) Fraud (5) Civil Theft - Cal. Penal Code§ 496(c); and (6) Violation of Cal. Bus. & Prof. Code§ 17500.

On November 25, 2024, cross-complainant Mostafavi, as Trustee of NMFT, filed the initial cross-complaint. On June 13, 2025, Mostavi filed a first amended cross-complaint (FACC). On December 8, 2025, Mostavi filed the second amended cross-complaint (SACC) against Yasuda, Padma-Nathan, Insyght, The Standard Fire Insurance Company (Standard Fire), and Foremost Insurance Company Grand Rapids, Michigan (Foremost) (collectively, Cross-Defendants). Mostafavi alleges ten causes of action: (1) Breach of Contract; (2) Breach of Covenant of Good Faith and Fair Dealing; (3) Negligence; (4) Waste; (5) Fraud; (6) Indemnity; (7) Trespass to Property; (8) Declaratory Relief; (9) Insurance Bad Faith; and (10)

Violation of California Insurance Code § 790.03.

Foremost issued a landlord's insurance policy to Mostafavi, effective from December 9, 2023, through December 9, 2024, which covered the Property located at 16673 Calle Haleigh in Pacific Palisades, California. (UMF 1.) Specifically, the insured Property is insured against "direct, sudden and accidental physical loss to the Property" caused by named perils. (UMF 2.) The named perils covered by the policy are then further limited by endorsement. Specifically, the policy contains a Fair Plan Companion Endorsement, which provides: "The following exclusion is added: Any loss, damage, or expense directly or indirectly caused by, arising out of, or resulting from any: ... 10. Vandalism or malicious mischief." (UMF 3.) Further, the coverage was subject to exclusions: "18. Loss caused by: a. Wear and tear, marring or scratching, deterioration, rust or other corrosion" (UMF 6.)

Mostafavi contends that Former Tenants damaged the insured Property. (UMF 8.) The claimed damage to the Property included: Curtains/drapes were taken down and stored in the garage; Missing/broken blinds; A TV was taken down and put in the garage; The garage door opener was broken; The washer and dryer had scratches on them; The hardwood floors were scratched by dragging heavy furniture; Several walls were patched but not painted; A chair is missing; Damage to closet doors; A veneer stone from a retaining wall fell; Refrigerator shelves are missing; A shower head was replaced without cross-complainant's approval; A toilet seat was scuffed; and the Property was not professionally cleaned. (UMF 10.)

Mostafavi first reported the claim to Foremost on March 3, 2025. (UMF 11.) On March 25, 2025, Foremost's supervisor advised Mostafavi that the claimed damages appeared to be wear and tear, not Property damage resulting from a direct, sudden, and accidental loss and, on March 28, 2025, a denial letter was sent to him explaining that Foremost determined the loss was caused by excluded wear and tear. The letter directed Mostafavi to the policy's one-year contractual suit limitation. (UMF 15.)

INSTANT MOTION

On April 17, 2026, Foremost filed the instant motion for summary judgment or adjudication. Mostafavi filed an opposition, and Foremost filed a reply.

DISCUSSION

I.

MOTION FOR SUMMARY JUDGEMENT

A. Contractual Suit Limitation – Breach

of Contract and Implied Covenant of Good Faith and Fair Dealing

Here,

Mostafavi's policy with Foremost contained a one year contractual suit limitation provision that required suit to be brought within one year of the date of loss. (UMF 7.) The time starts running when appreciable damage occurs and is or should be known to the insured. (Prudential-LMI Commercial Ins. v. Superior Court (1990) 51 Cal.3d 674, 686.) "[I]f an insured waits 11 months after discovering the loss to make his claim, he will have only 1 month to file his action after the claim is denied before it is time-barred under section 2071." (Id. at 692.) But the limitation period is equitably tolled from the time the insured gives notice of loss to the carrier until it formally denies coverage in writing. (Id. at 678.)

"No

suit or action on this policy for the recovery of any claim shall be sustainable in any court of law or equity unless all the requirements of this policy shall have been complied with, and unless commenced within 12 months next after inception of the loss. If the loss is related to a state of emergency, as defined in subdivision (b) of Section 8558 of the Government Code, the time limit to bring suit is extended to 24 months after inception of the loss." (Ins. Code, § 2071.)

"'State

of emergency' means the duly proclaimed existence of conditions of disaster or of extreme peril to the safety of persons and property within the state caused by conditions such as air pollution, fire, flood, storm, epidemic, riot, drought, cyberterrorism, sudden and severe energy shortage, electromagnetic pulse attack, plant or animal infestation or disease, the Governor's warning of an earthquake or volcanic prediction, or an earthquake, or other conditions, other than conditions resulting from a labor controversy or conditions causing a 'state of war emergency,' which, by reason of their magnitude, are or are likely to be beyond the control of the services,

personnel, equipment, and facilities of any single county, city and county, or city and require the combined forces of a mutual aid region or regions to combat, or with respect to regulated energy utilities, a sudden and severe energy shortage requires extraordinary measures beyond the authority vested in the Public Utilities Commission.” (Gov. Code, § 8558, subd. (b).)

Here, Foremost argues that Mostafavi’s

claims for breach of contract and breach of the implied covenant of good faith and fair dealing are barred by the suit limitation provision. Foremost states that the one-year period in which to sue on the policy started running at the latest on May 1, 2024, when cross-complainant discovered the full extent of the damage claimed. (UMF 9.) Thus, Foremost contends that the period in which to sue was running until notice was given to Foremost on March 3, 2025, at which point the tolling began, and 306 days of the period lapsed between discovery of the damage and presentation of the claim had already run. (UMF 13.) Foremost states that the time

to sue was then tolled during Foremost’s investigation and evaluation of the claim, which resulted in a formal, written denial on March 27, 2025. (UMF 15.)

Additionally, Foremost states

that its denial letter specifically notified Mostafavi of the policy’s one-year suit limitation, and the one-year limit was reached 59 days later on May 25, 2025. However, Mostafavi did not bring his claims against Foremost until June 13, 2025. (UMF 17.)

In opposition, Mostafavi argues that

the Policy states two suit-limitation periods, and Insurance Code § 2071 extends the one-year period to twenty-four months where the loss is related to a state of emergency (Gov. Code, § 8558(b)). Mostafavi states that Foremost’s separate statement identifies no undisputed fact establishing which period governs, so its initial burden is unmet. (UMF 7(a)) Moreover, Mostafavi contends that emergencies encompassing Los Angeles County were proclaimed in February, May and June 2024 and again on January 7, 2025 and the Property sat roughly 250 feet from the nearest structure destroyed by the Palisades Fire, sustained wildfire particulate the FAIR Plan agreed to remediate, and could not be inspected because Morales lacked the required County pass. (UMF 7(c))

In reply, Foremost argues that the

policy and statute it is based on both require that the state of emergency be “related to the loss” and here the “loss” was alleged damage to the inside of a rental unit by tenants (whether by vandalism or wear and tear), and there was

no state of emergency in California related to that. The Court agrees.

The Court finds that Foremost has met its burden as the moving party to establish that the claims are barred by the contractual dispute limitation, and Mostafavi has not raised a triable issue of material fact as to whether the contractual suit limitation was tolled. (UMFs 7, 9 & 11-15.) Mostafavi admits in opposition that the state of emergency must be "related to the loss." Here, the loss was alleged damage to the inside of a rental unit by tenants that were unrelated to the emergencies encompassing Los Angeles County in February, May and June 2024 and again on January 7, 2025. (UMF 7.)

Accordingly, Foremost's motion for summary adjudication is GRANTED with respect to the causes of action for breach of contract and breach of the implied covenant of good faith and fair dealing on the basis that they are barred by the contractual suit limitation.

B. Declaratory Relief

As to Foremost, Mostafavi seeks a declaration that Foremost is obligated to pay policy benefits for the property damage he is claiming. (SACC ¶¶200-201.) But the Court agrees with Foremost that Mostafavi's claim to coverage fails because his claims on the policy are barred by the policy's contractual suit limitation. (UMFs 7, 9 & 11-15.)

Accordingly, Foremost's motion for summary adjudication is GRANTED with respect to the cause of action for declaratory relief.

C. Fraud

"The elements of fraud are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of "liberal construction" of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.) The facts constituting the alleged fraud must be alleged factually and specifically as to

every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (Ibid.) “[Fraud’s] particularity requirement necessitates pleading facts which ‘show how, when, where, to whom, and by what means the representations were tendered.’ [Citation.]” (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 73.)

Here, Mostafavi contends that

Foremost misrepresented the exclusions contained in the Fair Plan Companion Endorsement; misrepresented that the damage claimed herein was the result of wear and tear and not covered vandalism; the scope of coverage under the policy by claiming dwelling, personal property, and loss of rents were not applicable to the loss; the terms of the replacement cost endorsement; and the provisions with regard to the duty to defend the complaint against him herein. (See Second Amended Cross-Complaint at ¶¶157-161; UMF 20.)

But Mostafavi’s fraud claim is

without merit because the claim was not denied based on the endorsement, but on the exclusion for wear and tear. (UMFs

14-15.) Foremost did not believe, based on its inspection of the property, the damage was the result of vandalism, but rather regular use of the insured property for two years by his tenant. (UMFs 3-6, 8-10, 21 & 22.) Mostafavi presents no evidence that Foremost’s denial was fraudulent or made with knowledge of falsity. Additionally, Mostafavi’s opposition makes clear that the gravamen of this claim is the denial of policy benefits, which is barred by the policy’s one-year contractual suit limit.

Accordingly, Foremost’s motion for

summary adjudication is GRANTED with respect to the cause of action for fraud.

D. Insurance Code § 790.03

Insurance

Code section 790.03 sets forth unfair methods of competition and unfair and deceptive acts or practices in the business of insurance. (See Ins. Code, § 790.03.) It is well-settled by the California Supreme Court in *Moradi-Shalal v. Fireman’s Fund Ins. Companies* (1988) 46 Cal.3d 287, that Section 790.03 does not confer a private right of action. Thus, this claim is without merit.

Accordingly,

Foremost’s motion for summary adjudication is GRANTED with respect to the

causes of action for violation of Insurance Code section 790.03.

E. Punitive Damages

The

Court agrees with Foremost that Mostafavi's claim for punitive damages is without merit. No coverage is owed for his claimed property damage and/or a genuine dispute existed as to the cause of loss. Moreover, nothing in the undisputed material facts can be described as even approaching malice, oppression, or fraud, and there is no clear and convincing evidence thereof. This matter concerns a run-of-the-mill insurance dispute. Foremost reasonably investigated the claim and denied it as beyond the policy's coverages. This is not despicable conduct and cannot support a punitive damages claim.

Accordingly,

Foremost's motion for summary adjudication is GRANTED with respect to punitive damages.

F. Conclusion

Based on the foregoing, Foremost's motion for summary judgment is GRANTED.